

## CAPITAL MARKETS

# Multifamily Debt Grew 53%. The Clock Is What Matters Now.

Bank multifamily loan balances surged since 2019. The real story is the maturity wall those loans now face.

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A source-grounded Light Tower Insight. The complete note follows.

U.S. bank multifamily loan balances hit \$665 billion in the first quarter of 2026, up 53 percent from the first quarter of 2019. That is the headline. The number that matters more is the one the data does not yet show: how many of those loans were originated in 2021, 2022, and early 2023, when rates were low, proceeds were high, and the five-year fixed-rate loan was the default structure.

The growth is real. CRED iQ data shows multifamily balances rose faster in percentage terms than any other bank real estate lending category. Core commercial real estate grew 32 percent. Construction and development grew 28 percent. Residential grew 17 percent. Multifamily grew 53 percent. In dollar terms, multifamily added roughly \$229 billion in outstanding balances since early 2019, a sum that trails the \$445 billion added by residential and the \$467 billion added by core CRE, but the composition of that growth matters more than the total.

Multifamily lending expanded rapidly during the low-rate period. Banks competed aggressively for agency-eligible and non-agency multifamily loans, often offering five-year terms with interest-only periods and floating-rate structures that assumed a refinancing event before maturity. The loans were underwritten at cap rates that have since compressed or inverted relative to debt costs. The leverage was real. The exit assumption was that rates would stay low or that the asset would trade before the loan matured.

That assumption is now being tested. A five-year loan originated in early 2022 matures in early 2027. A five-year loan originated in mid-2021 matures in mid-2026. The maturity wall for multifamily is not a future event. It is the current quarter.

The banks are not the only lenders in this market, but they are the largest holders of the risk. The \$665 billion in multifamily balances sits on the balance sheets of FDIC-insured institutions. These loans were not securitized. They were not sold to the agencies. They were retained, which means the banks own the extension risk, the repricing risk, and the potential loss content if the borrower cannot refinance at a lower rate or a higher loan amount.

The borrower's constraint is time. A sponsor who took a \$50 million five-year floating-rate loan in 2022 at a spread of 150 basis points over SOFR is now looking at a refinancing cost that is 300 to 400 basis points higher, assuming the loan can be refinanced at all. The debt service coverage ratio that worked at underwriting no longer works at current rates. The valuation that supported the original loan amount may no longer be defensible. The borrower needs either more equity, a lower basis, or a lender willing to extend on terms that acknowledge the new rate environment.

The lender's constraint is also time. A bank that holds a maturing multifamily loan faces a choice: extend at a higher rate and hope the asset stabilizes, or force a sale and realize the loss. Extending buys time but does not eliminate the risk. Forcing a sale crystallizes the loss but clears the balance sheet. The decision depends on the bank's capital position, its regulatory scrutiny, and its view of the local market. No two banks will make the same call on the same asset.

The data does not show how many of these loans are maturing in the next 12 to 24 months. That is the open question. But the shape of the growth curve offers a clue. Multifamily balances rose steadily from 2019 through 2024, then flattened. Construction and development balances rose to a peak near 142 on the index in 2024 before declining to 128 in early 2026. That decline is consistent with a pullback in new construction lending. It is also consistent with loans being paid off, modified, or charged off. The multifamily index has not yet shown a similar decline. It may not need to, if the loans are extended. But extension is not a solution. It is a deferral.

The market should test what happens when a large cohort of five-year multifamily loans reaches maturity in a rate environment that no longer supports the original underwriting. The answer will vary by market, by sponsor, and by lender. But the mechanism is the same: time is the most expensive ingredient in the capital stack, and the clock is running on a significant portion of the \$665 billion in multifamily debt that banks chose to keep on their books.

The growth was real. The maturity is real. The question is whether the banks have the patience and the capital to extend, or whether the market will force a reckoning that the data has not yet recorded.

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## SOURCES

— Commercial Observer —

<https://commercialobserver.com/2026/07/multifamily-loan-balance-cred-iq/>

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